SRM Group of Educational Institutions

Dr. R. Shivakumar, M.D.,
Chairman: SRM Group of Institutions
Chennai Ramapuram & Trichy

MO.No./All/ 61/25 dated 05.08.2025

MANAGEMENT ORDER

Standard Operating Procedure (SOP) for Revenue Sharing in Consultancy Projects

(Chennai Ramapuram & Trichy Campus)

1. Objective

This Standard Operating Procedure (SOP) establishes a clear and transparent mechanism for revenue sharing in consultancy projects undertaken by faculty and researchers of the institution. It defines the share distribution between the institution and the Principal Investigator (PI)/Co-Principal Investigator (Co-PI) based on the revenue generated from consultancy projects.

2. Scope

This SOP applies to all faculty members and research personnel involved in consultancy projects, whether undertaken individually or as a team, within the institution.

3. Definitions

- **Consultancy Project**: A project where faculty members or research personnel provide expert knowledge, technical solutions, or research support to industries, businesses, or government agencies in return for financial remuneration.
- **Principal Investigator (PI)**: The faculty or researcher primarily responsible for the execution and management of the consultancy project.
- **Co-Principal Investigator (Co-PI)**: A faculty member or researcher supporting the PI in executing the consultancy project.
- **Institute Share**: The portion of the revenue retained by the institute to cover administrative and infrastructure costs.
- **Investigator Share**: The portion of the revenue distributed to the PI and Co-PI based on their contribution.
- **Gain Margin**: The net revenue earned from the consultancy project after deducting any direct expenses incurred during project execution.

4. Revenue Sharing Policy

The revenue sharing between the institution and the investigators (PI & Co-PI) shall be based on the total revenue generated from the consultancy project, as per the following slabs:

OFFICE OF CHAIRMAN ★ RAMAPURAM CAMPUS ★ Dt: 05.08.25

4.1 Consultancy Revenue Below INR 1 Lakh

- **Institute Share:** 20% of the net revenue (after deducting direct expenses)
- **Investigator Share (PI & Co-PI):** 80% of the net revenue (after deducting direct expenses)
- **Distribution among investigators (if multiple PIs/Co-PIs):** To be determined mutually among them.

4.2 Consultancy Revenue Between INR 1 Lakh and INR 3 Lakhs

- **Institute Share**: 35% of the gain margin
- **Investigator Share (PI & Co-PI)**: 65% of the gain margin
- Distribution among investigators (if multiple PIs/Co-PIs): To be determined mutually among them.

4.3 Consultancy Revenue Above INR 3 Lakhs

- **Institute Share**: 40% of the gain margin
- **Investigator Share (PI & Co-PI)**: 60% of the gain margin
- Distribution among investigators (if multiple PIs/Co-PIs): To be determined mutually among them.

5. Procedure for Revenue Distribution

1. Upon completion of the consultancy project, the PI shall submit a financial report detailing the total revenue earned and the expenses incurred.
2. The net revenue (gain margin) shall be calculated after deducting direct project-related expenses.
3. The revenue shall be allocated as per the defined sharing percentage.
4. The institute's share shall be credited to a dedicated institutional fund for research and development activities.
5. The investigator's share shall be disbursed to the PI and Co-PI(s) as per the agreed distribution within 30 days from the final settlement.
6. All money transactions related to consultancy projects must be processed through the institute's official account to ensure transparency, accountability, and proper record-keeping.
7. The finance department shall ensure proper documentation and record-keeping of all transactions.

OFFICE OF CHAIRMAN
05.08.25
RAMAPURAM CAMPUS

6. Utilization of Institutional Share

The institute's share shall be utilized for:

- Enhancing research infrastructure and laboratory facilities.
- Supporting faculty and student research initiatives.
- Funding seed grants for new research projects.
- Conducting workshops, training programs, and faculty development initiatives.

7. Conflict Resolution

In case of any dispute regarding revenue sharing, the matter shall be referred to a committee comprising:

- Director of Research
- Head of the Institute
- Head of the respective faculty department
- Head of Finance
- Senior faculty member nominated by the Director

Their decision shall be final and binding on all parties involved.

8. Amendments and Review

This SOP shall be reviewed annually, and any amendments shall be made with the approval of the institutional governing body based on the recommendations of the Research and Consultancy Committee.

R. Shivakumar

Chairman
SRM Chennai Ramapuram & Trichy

To

All HoIs in Chennai Ramapuram & Trichy

Copy to

Director-Research, Chennai Ramapuram &Trichy
Coordinator, IPR Cell, EEC
Office File – Chennai Ramapuram/ West Mambalam/ Trichy

OFFICE OF CHAIRMAN * RAMAPURAM CAMPUS * Dt: 05.08.25